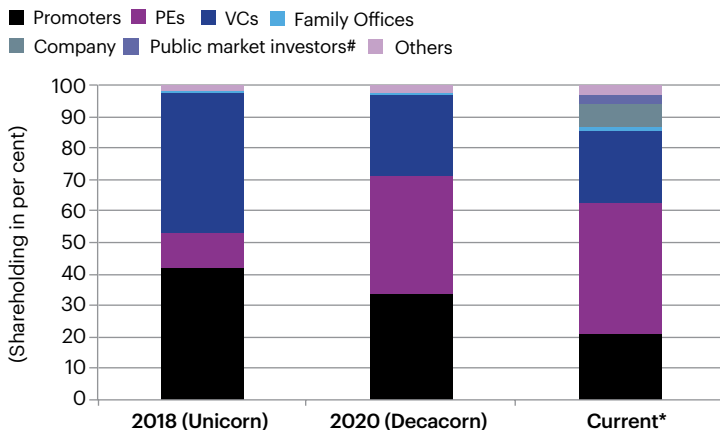


HOLDINGS PARED

Promoters' holdings in BYJU'S have decreased by nearly half since the edtech major became a unicorn



#T. Rowe Price, The Prudential Assurance Company Limited, and Maitri EdTech Special Opportunities Fund LLC; *Data as of June 2023; Source: PrivateCircle Research



“The BYJU’S episode could lead to a recalibration... with investors becoming more focussed on... sustainable business models”

ANIRUDH A. DAMANI
MANAGING PARTNER,
ARTHA VENTURE FUND

on June 29, he claimed that the company was talking to investors about a new financing round, and if that doesn’t happen, he’ll consider liquidating non-core assets. According to sources, Raveendran has been negotiating a new round with Middle Eastern investors for months now, which is expected to give preferential rights that existing investors don’t have. But, it will help the company repay the term loan.

However, Raveendran must first reassure his employees. During the town hall meeting, he told them: “The best of BYJU’S is yet to come.” In a subsequent email to staff, he said discussions with the lender consortium were heading in a positive direction. “[We] are confident about achieving positive outcomes hopefully without further court intervention,” a BYJU’S spokesperson says. While the timing of the new funding round is still uncertain, the recent strategic shift to an inside sales process and the job cuts are already yielding favorable outcomes. Additionally, transition to shorter courses, spanning one- to two-years, has played a crucial role in ensuring more complete payments upfront, resulting in faster and improved cash flows. “With one- to two-year courses, the fee comes down to ₹25,000–35,000 from the average fee of ₹80,000 [for four- to five-year courses], and there is a higher probability that more parents would make full payment,” says a senior executive with the company’s sales team. These changes have been cited as the reason for many lay-offs, as it renders certain teams obsolete.

The future of BYJU’S hinges on its ability to turn the business around. While the current timeline for the Aakash IPO (mid-2024) seems ambitious, the immediate focus is on building strong governance practices with essential checks and balances. Raveendran has appointed former State Bank of India Chairman Rajnish Kumar and former Infosys Director T.V.

Mohandas Pai to the company’s newly formed Board Advisory Committee, set up to advise the CEO on board composition and governance. He has also brought in Arjun Mohan, former CEO of upGrad, as the new CEO of the company’s international business division, to accelerate global operations.

“Any company looking to go public will have to establish a robust business, strict internal processes, right values, and good leadership,” says Amit Tandon, Founder and MD of IiAS, a proxy advisory firm.

More importantly, the BYJU’S episode could “lead to a recalibration of the investment climate” in India’s start-up ecosystem, “with investors becoming more focussed on backing ventures that exhibit sustainable business models,” says Damani of Artha Venture Fund. “While this might slow down the funding frenzy in the short term, it could foster the development of more robust and financially healthy start-ups in the long run.”

Finally, the time has come for BYJU’S to embrace the traits of a good public-listed company. One that places a premium on both good governance and strong performance. **BT**

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